

ASSET ALLOCATION AT WORK

Determining your portfolio's ideal asset allocation is not a onetime set-it-and-forget-it process. It is important to regularly make sure your asset allocation is maintained. Likewise, there are moments when you may need to tweak your asset allocation to reflect your current financial situation, time horizon to reach a goal and risk tolerance. Disciplined investors strive for balance in their portfolios and herein come the concept of rebalancing, which is an important part of managing your money.

Typically, when one asset class significantly outperforms another, the portfolio drifts from its starting investment mix. Unless you periodically rebalance, you may be taking more risk than suited to you. A simple way to understand rebalancing – it is buying and selling assets in your portfolio to get back to your original asset allocation (See Table: Balancing Act).

Suppose an investor starts 2019 by investing ₹20,000 equally distributed to equity and debt that is ₹10,000 in each of the asset classes. Now, if the performance of equity goes up by 50% at the end of the year and debt maintains its returns; the value of equities go up from Rs10,000 to Rs15,000 and the value of debt allocation remains ₹10,000. The portfolio value goes up to ₹25,000 or a gain of 25%.

At the end of the year there are two possible outcomes for the investor to follow – rebalance the portfolio to the original allocation in year 2 or let the investments be the way they are. Now, in year 2, the equity performance goes down by 30% and the performance of debt stays the same. In case of the portfolio that hasn't been balanced; the value would go from ₹15,000 to ₹10,500 and debt would remain the same at ₹10,000 and the 2-year annualised returns of the portfolio works to 1.24%.

However, if the investor had rebalanced the allocation at the start of year 2 by selling ₹2,500 worth of equities and follow the original 50-50 allocation to equities and debt. In this scenario, even though year 2 is bad for equities, which goes down by 30% and there is no change in bond returns, the 2-year annualised portfolio returns works to 3.08% with the portfolio value of ₹21,250.

While the example is a simple one to understand the impact of portfolio rebalancing; in reality things are far different and professional fund managers follow dynamic asset allocation and rebalancing strategies. There are several asset allocation strategies that are followed in real life investing. For instance, many investors follow a constant asset allocation; some prefer to go with dynamic allocation with timely rebalancing. There are also tactical asset allocation strategies wherein the weight of certain asset class is increased or decreased tactically to benefit from the move.

BALANCING ACT

	Jan 1, 2019	Dec 31, 2019
Equities	₹10,000 (50%)	₹15,000 (60%)
Bonds	₹10,000 (50%)	₹10,000 (40%)
Total	**₹20,000**	**₹25,000**

WITHOUT REBALANCING

	Jan 1, 2020	Dec 31, 2020
Equities	₹15,000 (60%)	₹10,500 (51%)
Bonds	₹10,000 (40%)	₹10,000 (49%)
Total	**₹25,000**	**₹20,500**

WITH REBALANCING

	Jan 1, 2020	Dec 31, 2020
Equities	₹12,500 (50%)	₹8,750 (41%)
Bonds	₹12,500 (50%)	₹12,500 (59%)
Total	**₹25,000**	**₹21,250**

The above calculations in the table are for illustration purpose only to explain the concept of asset allocation

decrease the total risk in a portfolio by allocating the money over different asset classes and investments. This practice is designed to help reduce the volatility of an investment portfolio over time.

Using Asset Allocation

Whether you aspire to create a retirement corpus, own a home, buy a car or pay for your child's education or marriage, you will need to factor in your objective when determining the distribution of the money you have across different assets. Your goals, investment horizon, and risk tolerance are the three primary factors that impact your asset allocation. For instance, if you are five years away from retirement, your investment horizon is small, and your risk tolerance is not very high.

The ideal asset allocation would be to buy have a higher allocation to debt instruments and create a conservative portfolio with an aim for capital preservation rather than growth. All your investment goals could be mapped with suitable asset allocation considering your risk profile and the timeline for each goal. However, for financial goals that require money in a year, the asset allocation should primarily be cash or cash equivalent because you would not wish to lose any part of the capital before you actually need it.

With the popularity of goal-based investing; it is possible to break down